

Emergence of Bangladesh
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Permanent Settlement of 1793

HISTORICAL BACKGROUND & IMPORTANCE:

- The most momentous decision of the early colonial period was the creation of a **new system of land taxation** which came to be known as the 'permanent settlement'. Introduced in 1790 and codified in **1793**, it was important because it was more than merely a tax system.
- It formed **the nucleus of the colonial system of control**; other parts of the administration such as the executive, the judiciary and the police were geared to the desired working of the permanent settlement.
- It survived with modifications till the 1950s and moulded **social and economic relations** in the Bengal delta to such an extent that **contemporary Bangladesh society cannot be understood without reference to it** (Schendel, 2010).

PROBLEMS & ISSUES:

- The BEIC introduced several measures to increase its share of revenue. Warren Hastings initiated a temporary 5-year term settlement which was later reduced to a 1-year term. In the meantime, Lord Cornwallis was appointed as a new Governor General for Bengal in 1786. He was in favor of a permanent settlement to secure a stable basis for revenue earning. To this end, he introduced a 10-year settlement.
- So, the Permanent Settlement was first introduced in Bengal by Lord Cornwallis in 1793 and later extended to parts of Bihar, Orissa and Madras. It has been claimed by many (including Marxists) that by introducing the zamindari system, the British created a feudal class in India.

- **The Permanent Settlement (PS)** was a **grand contract** signed **in 1793** between the government of the East India Company in Bengal and individual landholders of Bengal-zamindars and talukdars. Under the contract, the zamindars were admitted into the **colonial state system** as the absolute proprietors of landed property in Bengal. The government revenue payable to government **was fixed permanently**. The rules of the permanent settlement made every individual *zamindar* and talukdar the permanent and absolute proprietors of the land under their control.
- As absolute proprietors of land, *zamindars* and *talukdars* were required to pay revenue to government at **a rate fixed permanently**. But the cultivating *raiyats* were denied to such a privilege. The landholders were **free to change the rent rate of their tenants**. They even could evict their tenants if they wanted to. But if they defaulted, their lands proportionate to their default would be realised through public sale of their land. This strong law was called **the Sun-set Law**.

Objectives/Goals:

- ☐ To increase the revenue of the BEIC;
- ☐ To secure a permanent base for revenue collection;
- ☐ To create a subservient class loyal to and supportive of the British colonial rule ; and
- ☐ To create an aristocracy following the European model
- ☐ To apply the colonial policy of “Divide & Rule”.

Exploitative Land Management System :

- In real judgment, the Permanent Settlement was nothing but an **instrument of the BEIC's exploitative control over the land management**, and thereby, over the peasant economy of Bengal.
- Crushing changes in the agrarian structure were taking place after the Permanent Settlement
- The problem of the rise of hierarchic **intermediate classes** in land control had, indeed, deep economic and social implications

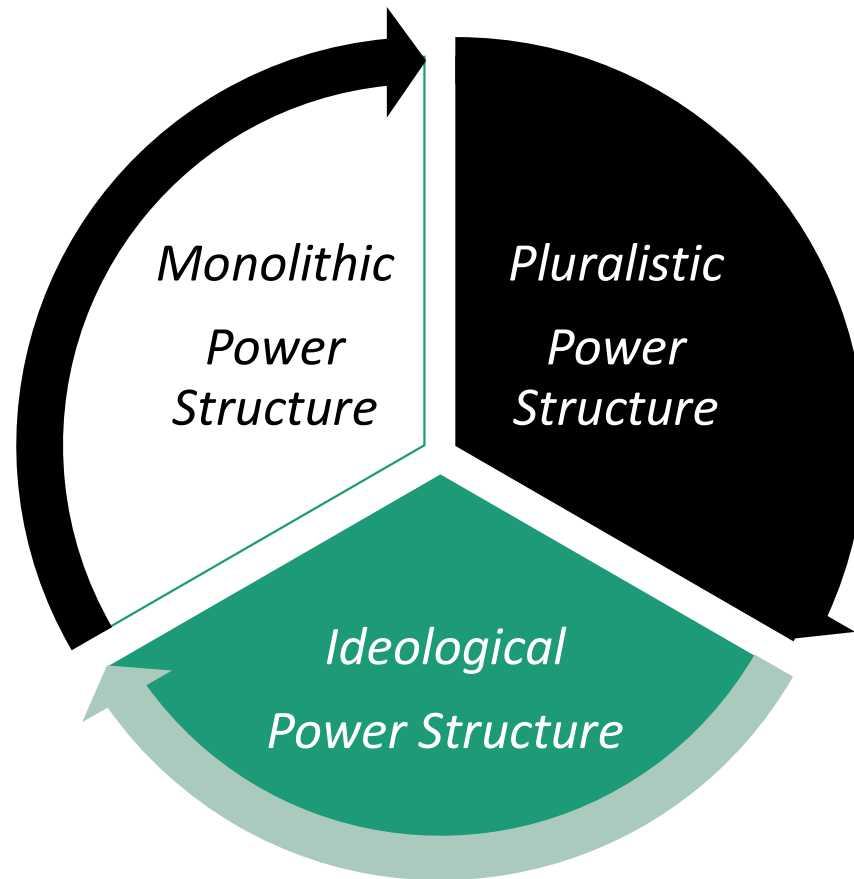
Emergence of a Centralized Administrative System:

The **bureaucracy and the army** recruit their senior officers largely from rich rural families and therefore the **landowning classes have a built-in position within the oligarchy**. The bureaucrats have a direct stake in the privileges of the landed classes. This link has been greatly reinforced by the grant of land to civilian and military officers, who have thereby become substantial **landowners** in their own right when they were not so already.

Growth in Agriculture:

Instead of improving land by means of capital and organizational input, the strategy of the *zamindars* was to **increase income** by other **more profitable means** such as mahajani investment, grain trade, purchase of new estates, bonds, urban properties, and enhancing rent and imposing illegal rents on raiyats/farmers.

POLITICS: WHO GETS WHAT, WHEN & HOW ?



Structural Changes :

- Change in rural power structure
- Change in urban power structure
- Change in land ownership pattern
- Change in income
- Change in consumption
- Change in life-style
- Change in the pattern of revenue collection

EMERGENCE OF A NEW MIDDLE CLASS:

Professor Amalendu De in his article, entitled, '*Bengali Intelligentsia's Attitude to the Permanent Settlement*', published in a journal named *Social Scientist* (Vol.5, No. 8, 1977) commented as follows:

*"As a result of the alliance of British rule with landlordism a new 'social basis' was created in Bengal. Within a few years of its introduction the Permanent Settlement had stimulated sub-infeudation. It became a marked feature in the land system of Bengal by 1806-1807. One of the objectives of the Permanent Settlement was stated to be the creation of the **Bengali middle class**. By 1930 its existence became distinctly visible as a **social force**".*

- In his book, entitled, *The Permanent Settlement in Bengal-A Study of its Operations 1790-1819* , professor Serajul Islam observed as follows:

*“Economically it was expected that the permanent settlement would encourage the **investment of capital** in land and, therefore, the growth of a middle class; that it would lead to more lenient and considerate treatment of the tenants by the landlords and **would thus promote general prosperity**”.*

PEASANT UNREST, RENT COMMISSION & BENGAL TENANCY ACT OF 1885:

- Mounting peasant unrest in the 1870s
- A **rent commission** was set up in 1879 to investigate the tense landlord-tenant relations
- The recommendations emerged from the rent commission were incorporated in the **Bengal Tenancy Act of 1885**
- The Bengal Tenancy Act of 1885 for the first time tried to define the rights of various interests in land from the highest proprietor to the lowest cultivating raiyat. Indeed, the act **considerably curtailed zamindari power and privileges**. This Act had successfully established peace in the countryside.

The rise of *proja* or peasant property through the successive Rent Act of 1859, Bengal Tenancy Act of 1885, Tenancy Amendment Act of 1928 and the Amendment Act of 1938 introduced new elements in the organizational structure of traditional peasant farming

PEASANT POLITICS & THE FORMATION OF THE KRISHAK PRAJA PARTY UNDER THE LEADERSHIP OF SHER-E-BANGLA A.K. FAZLUL HUQ:

- Zamindari sanction and permissions needed to transfer lands
- Peasant agitation began again in the 1920s
- Under the Amendment Act of 1928 the raiyats got the rights to transfer lands without permission of landholders but they were still subject to pay salami and landlord's had still the right to preemption. They also got the right to cut trees and dig tanks and ponds and construct pucca structures **without taking zamindari permission**
- With the enactment and implementation of the **India Act of 1935** the **peasant politics** had received a fresh stimulus. Peasant grievances were articulated by the political parties. A new political organisation, **KRISHAK PRAJA PARTY (KPP)** was formed in Bengal with the **avowed objects of serving the interests of the praja class mainly** and its leader Sher-e-Bangla **AK FAZLUL HUQ**, who politically committed himself **to abolishing the permanent settlement** if voted to power, had actually formed the government in 1937.

LAND REVENUE COMMISSION & TEBHAGA AGITATION:

- Soon after, the Huq ministry formed a committee called Land Revenue Commission (generally known as FLOUD COMMISSION after the name of its chairman Francis Floud) with specific terms of reference concerning the end of the permanent settlement
- FLOUD COMMISSION in its 1940 report recommended the abolition of the permanent settlement

ABOLITION OF THE PERMANENT SETTLEMENT IN 1950:

- The East Bengal State Acquisition and Tenancy Bill, 1950 was passed in the East Bengal Legislative Assembly .
- On 16 December 1950, the bill became an act entitled EAST BENGAL STATE ACQUISITION AND TENANCY ACT 1950. Under the act, the permanent settlement was at last abolished. The raiyats, now called maliks or proprietors of land, became direct tenants under the government.

Colonial Legacy of Land Disputes in Bangladesh, 1971-2023:

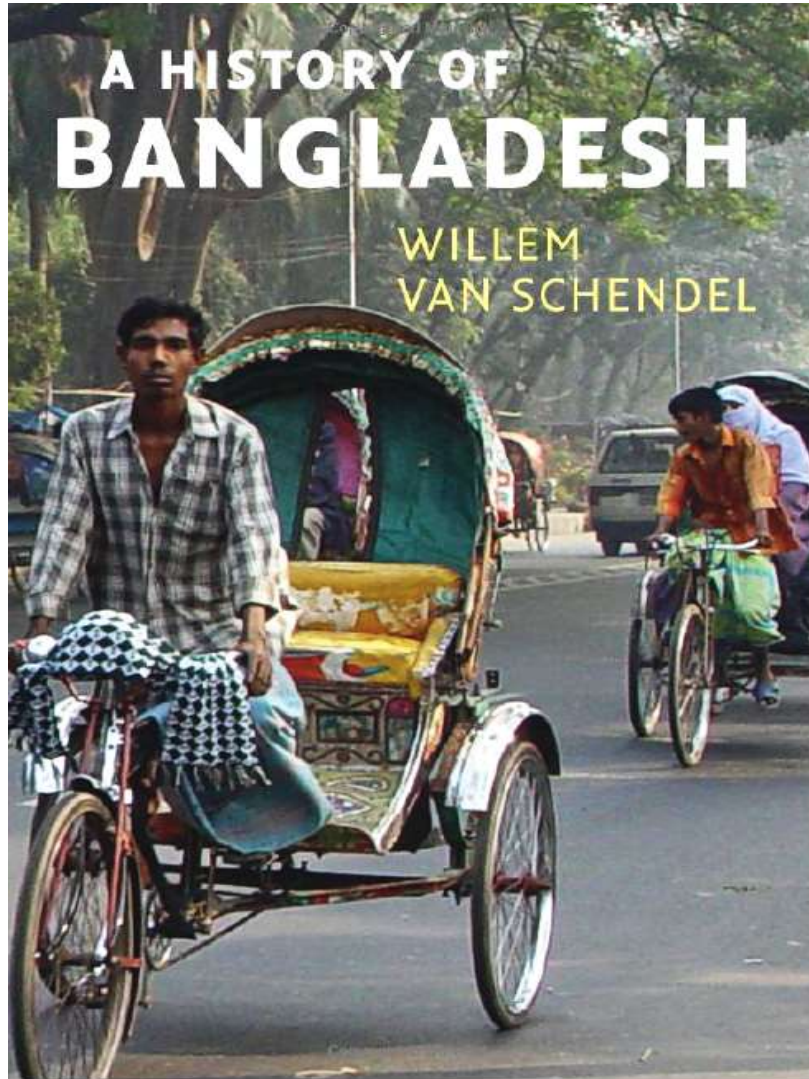
- The annual number of land litigation pending with major courts are 1.4 million and 120 million people are affected by **land related disputes**. It is further observed that **land related cases** need an average **of 9.5 years for settlement** (Rahman & Hossain, 2020, p.2).
- The absence of land governance in terms of poor transparency, accountability and the rule of law **encourages corruption**.

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A HISTORY OF **BANGLADESH**

WILLEM
VAN SCHENDEL



THE PERMANENT SETTLEMENT

The most momentous decision of the early colonial period was the creation of a new system of land taxation which came to be known as the 'permanent settlement'.³ Introduced in 1790 and codified in 1793, it was important because it was more than merely a tax system. It formed the nucleus of the colonial system of control; other parts of the administration such as the executive, the judiciary and the police were geared to the desired working of the permanent settlement.⁴ It survived with modifications till the 1950s and moulded social and economic relations in the delta to such an extent that contemporary Bangladesh society cannot be understood without reference to it.

The permanent settlement was a deal that the British struck with the tax-collecting rural gentry, the zamindars. The British (who arrogated the ultimate property rights of all land in Bengal) made the zamindars the *de facto* landowners and fixed the tax demand in perpetuity: the state would not enhance the rate in future. In return, the zamindars were bound to pay their taxes with clockwork punctuality on pain of their land being

auctioned off. In this way, zamindari control of local society was harnessed to the colonial state and zamindars became the mainstay of colonial control and extraction. At the same time their power was circumscribed by the threat of expropriation in case of arrears in tax payments to the state.

The expectation behind the permanent settlement was that, over time, zamindars would become improving landlords who would invest in agricultural development. Fixed government taxes, rising produce prices and new land under the plough would leave more and more wealth in the zamindars' hands. By reinvesting in agriculture, they would boost the delta's economy. This did not happen, however, partly because zamindars lacked government support for agricultural development, better communications, technological innovation and control of marketing, and partly because there were easier ways to grow rich. Popular strategies included squeezing the peasantry by (illegally) increasing rents and forcing tenants to pay contributions to events in the zamindar's family such as marriages, festivals, pilgrimages and funerals.

As their incomes grew, zamindars began to distance themselves from agriculture and tax-collecting. They turned themselves into rentiers and shifted their responsibilities to intermediaries. Bengal's peasants produced so much wealth that these intermediaries were often able to follow the zamindars' example by appointing their own intermediaries. In this way, a multitiered system of leisured tenure-holders developed, all living off the wealth of the land. This system, known as sub-infeudation or *pot-tonidari* (*pattanidāri*), was most developed in what is now southern Bangladesh. For example, in the district of Barisal you had to cut through five to seven layers of intermediate tenures to get to the tiller of the soil.⁵ In this way, the permanent settlement encouraged the development of a very hierarchical social structure dominated by an extensive leisured class.

There was another reason why the permanent settlement was a system with momentous consequences: it denied the peasantry any property rights in land. Previously there had been complex and locally variable bundles of property rights vested in both peasant producers and landlords. Now these rights were granted only to the landlords who could freely sell, mortgage or gift their land. In the eyes of the law, cultivators became mere tenants with a right to work the land – if they paid their rent regularly – but they could transfer this 'occupancy right' only by inheritance, not by sale. Not all tenants acquired this occupancy right and over time a growing proportion of cultivators were mere tenants-at-will whom the landlord could eject at any time. In this way colonial rural

Bengal came to be dominated by zamindari land owners whose land was tilled by tenants with occupancy rights – in which case they were known as *rāiyat* – or without such rights. The zamindari gentry benefited enormously from the colonial state's patronage. Many of them grew very rich indeed and built palatial mansions on their estates (Plate 6.1; and see box 'First-rate art in a country town').

At the same time the composition of the zamindari gentry changed. Whereas Muslims had dominated during the reclamation of the eastern delta in the Mughal period, the colonial period saw an advance of Hindu landlords. Although neither Muslim zamindars nor Hindu tenants were rare by any means, in many parts of the eastern delta religious and class identities began to merge, with Hindu zamindars at the apex of a local society consisting largely of Muslim cultivators. In the western delta Hindu zamindars dominated as well but here the majority of the cultivators were also Hindus. This regional difference had no political ramifications in the early colonial period but it would become a highly salient political question towards its end.



THANK YOU !
